



Changing Your Direction

When business conditions change, you may feel a sense of panic. However, you can use such times to reinvent yourself and to set off in a new, better direction.

Changing circumstances

Staying alert to early signs of a change in business conditions enables you to take action before it is too late. Change may be dramatic and unexpected or the result of an evolving retail climate, new technology, regulatory updates, or increased competition. General Motors, which led the US auto industry for almost a century, collapsed because it ignored its customers' needs and failed to embrace new technologies and improve quality. As a small business, you may not have huge resources, but this can work to your advantage. You have the benefit of being lean, naturally agile, and able to adjust quickly in the face of change.

Ways of changing

To meet the challenge of a changing environment, you may decide to adapt, pivot, or diversify. Adapting means making small changes to your existing business strategy, continually refining your product and sales approach. Pivoting means adopting a new business model or strategy. Diversifying means broadening the scope of your business to offer different types of goods or services. In this example, the owner of a restaurant adapts, pivots, and diversifies in response to three different changes in her business environment.

ADAPT

Rowena adapts to the closure of the restaurant during a pandemic by offering home-delivery services to customers who cannot get to the restaurant to collect. To widen her customer base, she starts using a popular home-delivery app.

PIVOT

In response to strong competition from a new restaurant nearby, Rowena decides to change her restaurant into a cookery school offering classes in fine cuisine. She also posts how-to videos on social media.

